

Protection & leverage

Capital protected notes at one end, mini futures at the other.

Opposite ends of the risk spectrum — and the same unsecured claim underneath.

WHERE WE ARE

The far ends of the map

Capital protection • 11xx

Capital protected notes

Most of the money buys a bond. What is left buys an option. The client cannot lose principal at maturity — provided the issuer is still there.

Leverage • 22xx

Mini futures

Almost none of the money buys anything except exposure. A few percent of adverse movement ends the position.

Both are unsecured senior claims on the issuer. The protected-note buyer thinks they bought safety and bought issuer credit; the mini-future buyer thinks they bought a futures position and bought issuer credit.

Same balance sheet, opposite ends of the risk spectrum, identical failure mode in a default. Lehman proved both halves of that sentence in 2008.

There is no collateral, no segregated pool and no deposit protection behind either product. That is the one thing they have in common, and it is the thing clients least expect.

Buy the floor first, then spend what is left

1

Buy the bond floor

To repay 100 at maturity, set aside the present value of 100 discounted at the issuer's own funding curve. At 4.3% over five years that is about 81.

2

Spend the rest on optionality

Option budget = 100 – floor – fees. At those levels, roughly 19 points, less costs.

3

Divide to get participation

Participation rate = option budget ÷ the cost of one unit of the call. Nineteen points buys about 0.96 of an at-the-money five-year index call.

Note the discount curve

The floor is discounted at the issuer's funding curve, not at the risk-free rate. A weaker issuer discounts harder, so its floor costs less and its option budget is bigger.

That is why a lower-rated issuer can advertise a better participation rate on identical terms. The client is not being given more upside — they are being paid for taking more credit risk, and usually not being told so.

If two CPNs on the same index look different, check the issuer before you check the structure.

Participation is a residual, not a feature.

THE FOUR LEVERS

Four ways to spend the same budget

Lower the protection

100% → 90%

A smaller floor to buy frees roughly eight points of budget at current rates. The client takes the first 10% of loss.

Lengthen the tenor

5y → 10y

A deeper discount means a cheaper floor. But the client is locked up twice as long and takes twice the duration risk.

Add a cap

uncapped → capped

The budget now buys a call spread rather than a call, which is materially cheaper. A 41.5% cap over five years roughly halves the option cost.

Change the underlying

index → futures index

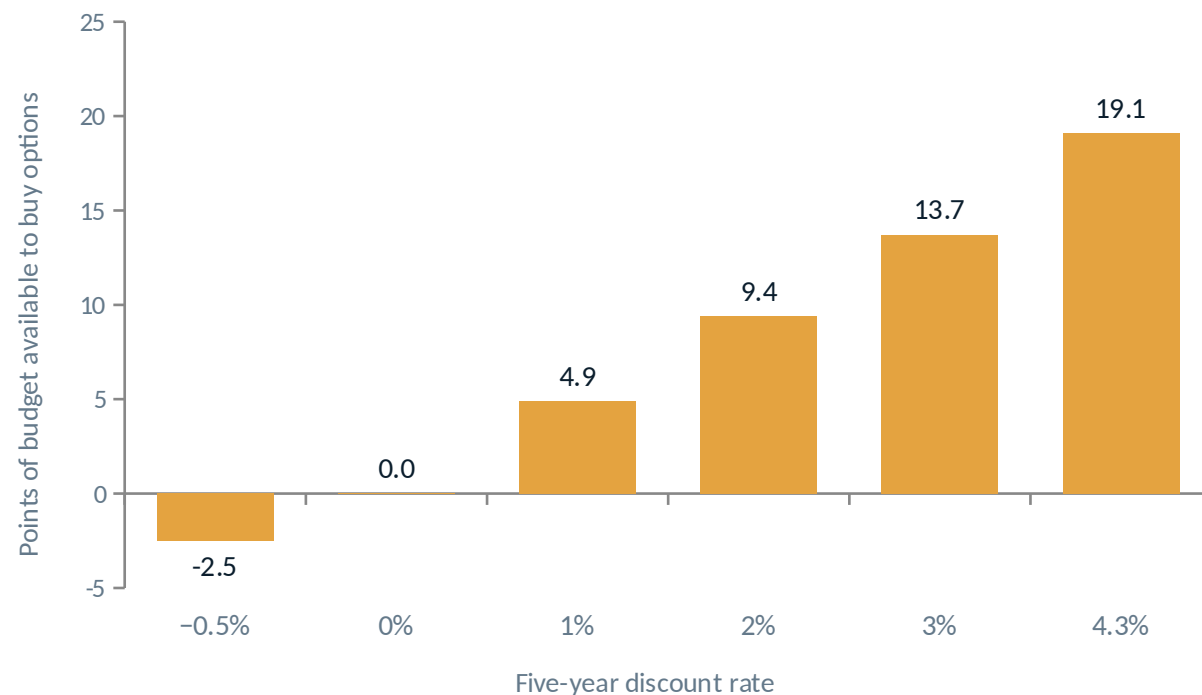
An excess-return or futures index strips out dividends and funding, so the same call is cheaper. This is why protected notes so often reference a futures index rather than the price index.

Four ways of spending one budget — pull any of them and the others have to move.

WHY THIS PRODUCT DISAPPEARED AND CAME BACK

At zero rates a protected note is not expensive — it is unbuildable

What is left over after buying a floor that repays 100 in five years



- **Add one to two points of distribution fees and the budget is negative well before rates reach zero.**
- That is the whole story of the 2015–2021 period. In France, before the ECB began tightening in 2022, roughly 95% of structured product issuance was in non-guaranteed equity structures — autocalls and barrier reverse convertibles — because protection simply could not be built.
- Rates normalised and the family came back. In Germany, capital protection rose from 6.6% of investment products in March 2025 to 9.2% — €9.5bn — by June 2026.
- **But buildability is not the same as demand.**
- Swiss capital protection turnover peaked around 16% of the market in early 2023 and has since fallen back to 8%, because yield enhancement outcompetes it whenever equity volatility is well bid.

Budget figures are illustrative present-value arithmetic on annual compounding, not market quotes. The 4.3% column is the US five-year constant-maturity yield in August 2026.

WHAT ACTUALLY TRADES

Read a participation rate only against its own underlying

Tenor	Underlying	Participation	Cap
5y	S&P 500 futures index	1.40×	uncapped
5y	EURO STOXX 50	1.31×	uncapped
5y	S&P 500 futures index	1.60×	uncapped, plus a 16.5% snowball
5y	S&P 500	—	capped at 41.5%
3y	custom multi-asset index	3.54×	uncapped
5y	custom multi-asset index	6.00×	uncapped

650%

The highest advertised participation I found on a fully protected note. On a five-year at-the-money call it would imply an implied volatility of roughly 1–2%. No real equity index moves that little.

On a plain equity index with full protection you get roughly 1.0× to 1.6×, or about 8% a year capped. Every headline multiple above that is on a low-volatility custom index.

A 650% participation and a 0.95× participation can be economically identical products. The multiple tells you about the index, not about the deal.

Twin-Win: paid for being wrong, within limits

100% protected, lower barrier 80%, upper barrier 124%, participation 100% both ways



Between the barriers

The client is paid the absolute performance. Down 15% pays 15%; up 15% also pays 15%. That is the twin win.

Through either barrier

The mirror is switched off and the note redeems at the protected amount plus the minimum coupon — here, exactly 100.

Why it sits in capital protection

Because the floor is unconditional. Breaching a barrier costs the client their upside, never their principal. The family is decided by the floor, not by the barriers.

Barriers observed at the daily closing level. Note there are two of them and either one ends the mechanism — which is why a Twin-Win is much less likely to pay its headline than it first appears.

Four capital protection codes, in rising order of moving parts

1100

with Participation

A floor plus a call. The plain version, and the one the four levers describe.

1130

with Barrier

A floor plus a knocked-out call. The client participates up to a barrier; touch it and they get the floor plus a rebate. Cheaper upside, conditional.

1135

with Twin-Win

A floor plus absolute performance between two barriers, as on the previous slide.

1140

with Coupon

A floor plus a coupon and no equity option at all. At its simplest this is an accrual note.

The accrual note, and why it is here

Two-way early termination — a Holder Put and an Issuer Call on the same dates — is rare in this product set. Almost everything else gives the option to one side only.

A one-month note accruing 3.3% a year on a 30/360 basis, redeemable by the holder on any business day and callable by the issuer on any business day. There is no option on anything. It is a money-market instrument wearing a structured-product wrapper, and it is the cleanest illustration in the series that a category code describes a payoff shape, not a level of complexity.

THE FOUR CAVEATS

What 'capital protected' does not mean

It applies at maturity only

Between issue and maturity the note trades at bond floor plus option value — and it will trade below par when rates rise. Duration risk is real, and selling early can crystallise a substantial loss despite the protection.

It is issuer credit, not a guarantee

No collateral, no segregated pool, no deposit insurance. The client is an unsecured senior creditor and nothing more.

The benchmark is a bond, not cash

At 4.3% over five years the issuer's own senior bond returns about 24% with certainty. The protected note returns zero if the underlying is flat or down. The client has swapped a certain 24% for a call option on 19 points of budget.

Fees come out of participation

The fee is taken from the option budget, not from the floor — so it never reduces the protection, it silently reduces the upside. At the top of the published range for total costs, a five-year note can lose roughly half its participation to fees.

Published studies of total cost on Swiss structured products put the median all-in charge at roughly 0.3% to 1.7% a year.

Lehman's 100% Principal Protection Notes

6 cents

on the dollar

Where the notes traded after Lehman filed on 15 September 2008

\$2.5m

FINRA fine

Against the distributor, 11 April 2011, plus \$8.25m of restitution

100%

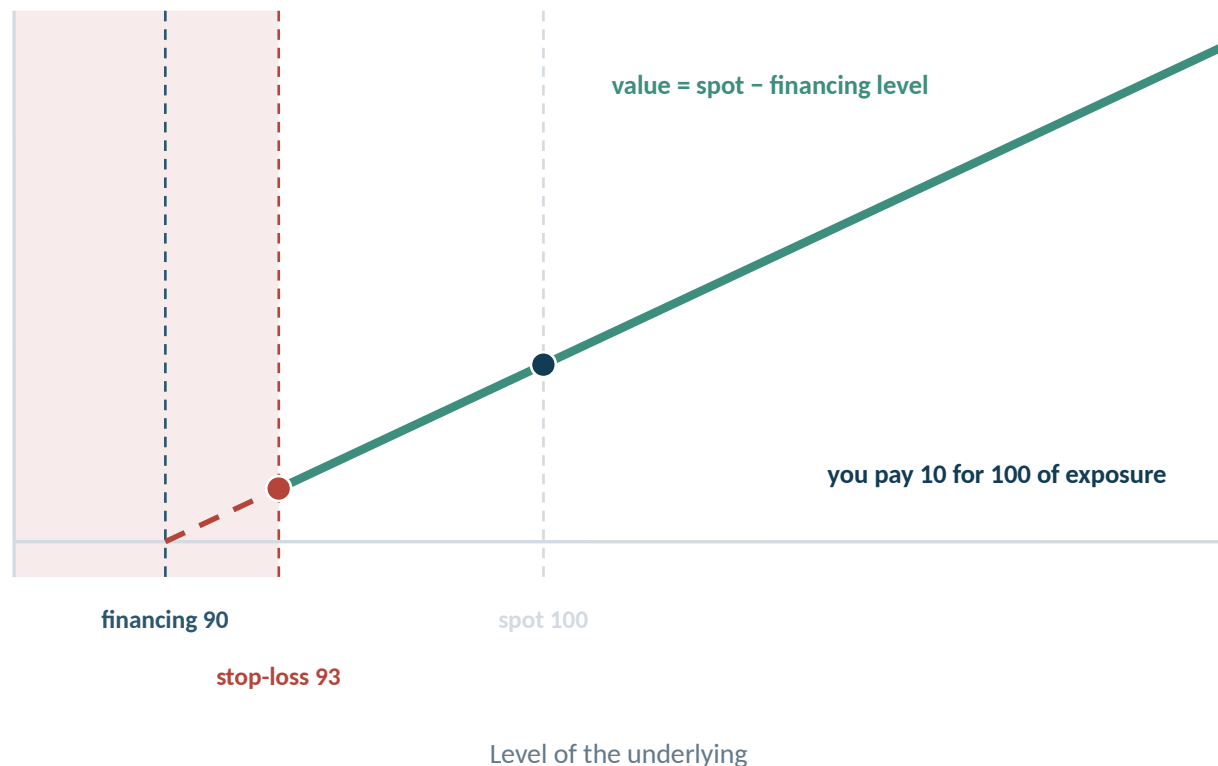
the protection level

Which was accurate, and completely beside the point

- **The notes did exactly what the term sheet said. The term sheet was not the problem.**
- The regulator's findings were that marketing suggested the protection was a guarantee while downplaying that Lehman's own credit could cause a total loss, and that the firm failed to train its advisers on Lehman's widening credit spreads.
- The regulator's summary of the sales force was blunt: they did not understand the products they were selling.
- **A separate lesson worth keeping straight: Hong Kong's Lehman 'minibonds' were credit-linked notes, not protected notes.**
- They failed through reference-entity and collateral risk, not a broken guarantee. Sixteen distributing banks repurchased them at 60% of nominal in 2009 — 70% for clients aged 65 and over — and at up to 96.5% after a collateral recovery agreement in 2011.

Three levels, and the gap between two of them is the product

Long mini future — underlying at 100, financing level 90, stop-loss 93



Financing level

The part of the underlying the issuer finances. The client pays only the gap — 10 here — and controls 100 of exposure.

Stop-loss

Set above the financing level for a long. Touch it and the product terminates immediately. It is not the same as the financing level, and that difference is the whole design.

Leverage

$\text{Spot} \div (\text{spot} - \text{financing level}) = 10\times$. It is not fixed: it rises as the position moves against you and falls as it moves for you.

A 5% rise in the underlying is a 50% gain on the certificate. A 7% fall terminates it. Both statements come from the same 10× leverage.

The carry is charged through the strike, not as a fee

- The financing level is reset every day and grows by the reference rate plus the issuer's financing spread — typically two to three percent a year.
- For a long, that means the financing level creeps upward. The stop-loss is dragged up behind it, so the buffer between spot and the barrier erodes even in a completely flat market.
- There is no line item for this. It is not a management fee, it is not a spread on the quote. It is the strike moving.
- **For a short, the signs reverse.**
- The client receives the reference rate less the spread, and the financing level falls — so a short mini future can carry positively when rates are above the spread. Very few retail clients know this.
- Dividends are deducted from the financing level on the ex-date, adjusted for withholding.

Long

Financing level rises daily.
Stop-loss follows it up.
Buffer shrinks.
Time works against you.

Short

Financing level falls daily.
Stop-loss follows it down.
Buffer grows.
Time can work for you.

A stop-loss pays something. A knock-out usually does not.

Mini future

The stop-loss sits above the financing level, so at the moment it triggers the product still has intrinsic value. The issuer unwinds its hedge and pays out what it recovers.

Residual value = (reference price – financing level) ÷ ratio

Knock-out warrant

The barrier and the strike are the same level. So when the barrier is hit, intrinsic value is zero by construction and the product expires worthless.

There is no buffer, so there is nothing to recover.

- **The reference price is not the barrier level, and it is not the price at the moment of the touch.**
- It is the worst price reached during a defined unwind window after the event — commonly the next three trading hours, extending into the following session if the market closes first.
- So the client is still exposed to further adverse movement after their position has already terminated. Determination is fast, but it is not instantaneous.
- **And it can still be a total loss.**
- If the market gaps straight through to the financing level or beyond, the residual is zero — settled at a nominal fraction of a cent. The buffer protects against an orderly move, not a gap.

WORKED EXAMPLE

Ten times leverage, in both directions

Long mini future • underlying 100 • financing level 90 • stop-loss 93 • ratio 1:1 • certificate price 10 • leverage 10×

Underlying rises 5%

to 105

15.00

+50%

Value is 105 – 90. A 5% move became a 50% gain — that is the leverage working for you.

Underlying falls 3%

to 97

7.00

–30%

Still alive, but the buffer to the stop-loss is now four points rather than seven, and the leverage has risen to 24×

Underlying falls 7%

to 93

≈ 2.00

≈ –80%

Stop-loss touched. Terminated. If the worst price over the unwind window is 92, the residual is 2 — not the 3 the barrier implied.

Underlying gaps to 88

overnight

0.00

–100%

Straight through the financing level. Nothing to recover, and no margin call to warn anyone. Total loss.

A live Swiss single-stock mini future currently offers 11× leverage on a 7.6% stop-loss buffer.

TELLING THEM APART

Mini future against everything it gets confused with

	Mini future	Knock-out warrant	Plain warrant	CFD	Listed future
On a barrier event	Terminates, residual paid	Terminates, usually worthless	No barrier	—	—
Barrier vs strike	Two levels; the gap is the buffer	Same level	—	—	—
Volatility sensitivity	Essentially none	Low	High	None	None
Time decay	None; carry via the strike	Minimal	Yes, to zero	Daily swap charge	In the basis
Margin calls	No	No	No	Yes	Yes
Tenor	Open-ended	Dated or open-ended	Dated	Open-ended	Dated, roll needed
Counterparty	Issuer credit	Issuer credit	Issuer credit	Broker credit	Clearing house

A mini future is a security you buy outright; a CFD is a margined contract with your broker.

Tiny stock, enormous flow, and a regulator's attention

74.2%

of retail investors lost money

German study of 543,000 investors and 113m transactions, 2019–2023

€6,358

average loss

Per losing customer, over €3.4bn in total

4% / 86%

of volume vs of turnover

A sliver of the German market, most of its exchange activity

6.95

average risk indicator

Against 2.58 for the German market as a whole, on a 1–7 scale

Germany, from 16 June 2026

A mandatory warning stating that seven in ten retail investors lose money; a knowledge test requiring six correct answers out of eight, repeated every six months; and a ban on incentives including waived order fees. No leverage cap.

Netherlands, from October 2021

Leverage caps by asset class — 30× on major currencies down to 5× on shares and 2× on crypto — plus a firm-specific loss warning and an incentive ban. No knowledge test.

Regulators originally left securitised leverage outside the CFD rules because it has no margin call and a capped downside. The loss data turned out to be almost identical, so they applied CFD-style remedies anyway. Expect further convergence.

WHAT TO TAKE AWAY

Five things about protection and leverage

- 1 Participation is a residual, not a feature. Budget divided by the cost of the option, nothing more.
- 2 At zero rates a protected note cannot be built at all. The rate environment decides what is possible.
- 3 'Capital protected' means at maturity, by this issuer. It is a promise, priced on credit.
- 4 A mini future's buffer is the gap between the stop-loss and the financing level — and carry eats it daily.
- 5 Both ends of this deck are unsecured claims on the same balance sheet. That is the only thing they share.

End of the series. Six decks, four product families, one recurring question: what has the client sold?